

Doorstep Deliveries Done Right

Quick commerce platform Zepto has been able to attract investors and turn unicorn during a funding winter. That takes some doing **By Arnab Dutta**

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IN MID-2020, India was battling the Covid-19 pandemic, with the country being under a stringent lockdown. The pandemic had brought India to a standstill, hitting the supply chain. For citizens stuck in homes, securing their daily essentials—from wheat flour to detergents—without venturing out was the biggest challenge. Aadit Palicha and Kaivalya Vohra, two teenagers stuck in a small apartment in Sher-e-Punjab colony in Mumbai's Andheri East, decided to do something about it.

“Most online delivery apps were taking seven to 10 days to deliver essential items, while mom-and-pop stores were shut. So, we decided to cater to the many elderly people that resided in the locality,” says Palicha. The duo, childhood friends who dropped out of Stanford University to pursue their entrepreneurship dreams, put in ₹3-4 lakh to set up KiranaKart, tying up with grocery stores to cater to their locality. As the service gained traction and the number of customers swelled to 200 by November, they raised some \$125,000 from Y Combinator as a part of its early stage programme. Quick commerce app Zepto was launched in April 2021.

Three years since its humble beginnings, Zepto has grown exponentially and has turned into a unicorn—it is one of the fastest Indian ventures to cross this milestone. As per its latest round of funding in November 2023, when Zepto raised \$235.4 million, the company was valued at \$1.435 billion.

What's more, Zepto has been able to attract investors even as some leading start-ups of the country are struggling to stay afloat, while funding has dried up for many amid a funding winter in the aftermath of global economic uncertainties and geopolitical volatility. Zepto has also expanded beyond Mumbai and is present in cities such as Delhi, Bengaluru, and Chennai, among others.

One of the key reasons for Zepto's success has been its unique proposition of delivering daily essentials—from vegetables and fresh meat to alkaline batteries and pet-care items—within 10 minutes to the customer's doorstep. And while there is competition in the quick commerce space from players such as Swiggy's Instamart, Reliance Industries-backed



ZEPTO

• **AADIT PALICHA (right),**
CO-FOUNDER & CEO
• **KAIVALYA VOHRA,**
CO-FOUNDER & CTO

KEY INVESTORS

StepStone, Nexus Venture Partners, YCC20 (India) Ltd, LGF Scale II (Mars) Ltd., Goodwater Infinity III L.P.

FUNDING

The company has raised \$567.6 million till date and is valued at \$1.4 billion

FINANCIALS

In FY23, Zepto posted operating revenue of ₹2,024 crore, and a net loss of ₹1,272 crore

WHAT MAKES IT COOL

Zepto has stayed true to its promise of delivering daily essentials to the customer's doorstep within 10 minutes